



China Internet & New Media

Global Markets Research

27 May 2026

EQUITY: INTERNET & NEW MEDIA

Tactical window ahead of 1Q print

Alibaba, Tencent and NetEase are top picks

Meituan (3690 HK, Neutral): Recent weakness creates tactical opportunity into 1Q print

We view Meituan's recent underperformance relative to the Hang Seng Tech Index (-3.6% over the past five days vs +2.1% gain) as flow- and sentiment-driven rather than fundamental. *Recent regulatory actions* against cross-border brokers, including Futu (FUTU US, Not rated) and Tiger (TIGR US, Not rated), appear to have weighed down on China internet names with sizeable mainland retail ownership. While the exact selling pressure is difficult to quantify, we believe the near-term share price correction is disconnected from company fundamentals.

Against this backdrop, we see Meituan's upcoming 1Q26 results (scheduled for release after market close on 1 June 2026) as a potentially positive near-term catalyst. In our view, the 1Q26 print itself may be less critical given that the company provided guidance three months ago. Instead, we believe management's commentary on June-quarter (2Q26) food delivery (FD) unit economics (UE) should serve as a primary positive catalyst for the stock price.

Alibaba (BABA US, Buy) had guided for significant loss reduction (by 50%) in its quick commerce (QC) business for the current year. Based on our channel checks, these loss-reduction efforts appear to have gained momentum since April, which we believe could significantly ease competitive intensity for Meituan. Hence, we think there is a meaningful likelihood that Meituan management will guide to better-than-expected improvements in the 2Q26 UE of its FD business. The latest Bloomberg consensus expects a loss per order of CNY0.78 in 2Q26, improving from -CNY1.34/order in 1Q26.

We therefore believe Meituan's recent share price weakness offers a compelling tactical trading opportunity ahead of the results.

That said, we maintain our Neutral rating on Meituan. Structurally, we remain cautious regarding the long-term outlook for Meituan's FD and in-store businesses. Alibaba remains the most critical competitive variable in the QC space, and we believe BABA's subsidy budget can still shape the pace of Meituan's FD margin recovery. Meanwhile, Douyin (unlisted) remains a credible long-term threat in the in-store segment, where Meituan's high-margin profit pool could face a more protracted competitive cycle. Consequently, while the tactical setup into the 1Q print appears favorable, we see limited visibility on normalized earnings power over a 12-month horizon.

TCOM (TCOM US, Neutral): China business outlook clouded by antitrust investigation and surging fuel surcharges

TCOM has not yet announced its 1Q26 print date. When it reports, we believe there is a high probability that management will tone down its outlook for FY26 to factor in the dual impacts of the ongoing antitrust investigation and surging fuel surcharges.

The antitrust investigation has been underway since January 2026, and the State Administration for Market Regulation (SAMR) has yet to conclude its probe or announce its findings. Based on our observations, TCOM has already implemented several rectification measures for its domestic hotel booking business, likely in response to the investigation. For instance, TCOM has suspended its AI pricing assistant to return price-setting power to hoteliers. We believe these current and prospective rectification measures will likely slow domestic hotel booking revenue growth and compress profitability in 2026F. Bloomberg consensus currently forecasts a mild 0.5pp drop in TCOM's non-GAAP operating margin for 2026 which we believe remains too optimistic.

Research Analysts

China Internet & New Media

Jialong Shi - NIHK

Jialong.shi@nomura.com
+852 2252 1409

Rachel Guo - NIHK

rachel.guo@nomura.com
+852 2252 1400

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Secondly, surging fuel surcharges are expected to weigh on the transportation segment. Since the outbreak of the Middle East conflict in February 2026, Chinese authorities have revised domestic air fuel surcharges upward twice, in April and May, respectively. The fuel surcharge for short-haul domestic flights (below 800km) now stands at CNY90/person (up from CNY10 in January), while long-haul flights have risen to CNY170/person (up from CNY20 in January). For perspective, the total fare price, inclusive of fuel surcharges, now represents a 15-25% increase from the beginning of the year, which has led to a deterioration in domestic air traveler volumes, as shown in *Fig 1*.

According to data compiled by the Flights Management app, domestic air passenger volume growth slowed to flat y-y in April before deteriorating further to -7.3% y-y in May. International air passenger volume has held up better, but has also shown a clear deceleration. Thus, elevated fuel surcharges cloud the near-term outlook for the travel industry.

Top Picks: Alibaba (BABA US, Buy), Tencent (700 HK, Buy), and NetEase (NTES US, Buy) remain our preferred picks

Alibaba (BABA US, Buy; TP: USD207)

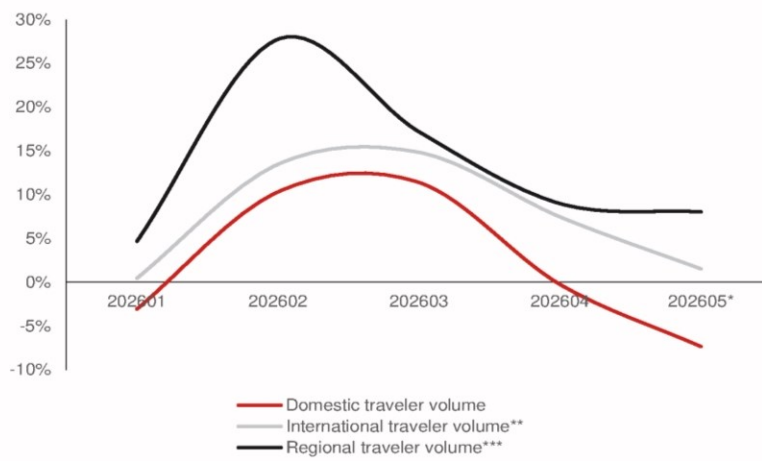
At its recent *Cloud Summit*, Alibaba signaled a clear pivot toward AI agents, which we believe should help accelerate its AI monetization trajectory. Furthermore, a potential IPO of its chip business (T-Head) could serve as a medium-term catalyst for the stock. The primary near-term risk for BABA remains its e-commerce segment; we forecast a -5% y-y decline in e-commerce Customer Management Revenue (CMR) for the June quarter to reflect a deteriorating retail market and a high base effect. Nevertheless, we believe the thriving AI business more than offsets the near-term weakness of core e-commerce. We maintain our Buy rating.

Tencent (700 HK, Buy; TP: HKD727)

We believe Tencent is likely to become a lead investor in DeepSeek's (unlisted) ongoing fundraising round, which would strengthen the strategic partnership between the two companies. There are strong synergies: DeepSeek's robust foundation model compensates for Tencent's relative weakness in proprietary AI development, while Tencent's massive internet ecosystem offers unmatched, rich use cases for the real-life application of DeepSeek's models. In our view, this potential investment in DeepSeek should help alleviate market concerns regarding Tencent's competitive standing in China's AI landscape.

NetEase (NTES US, Buy; TP: USD155)

NetEase's recent strong 1Q26 results demonstrated the high resilience of its evergreen titles, which delivered 7% y-y game revenue growth against a high base, and without the aid of major new title launches. The company is scheduled to launch its next promising title during the upcoming summer, which we believe will serve as a near-term catalyst. Concurrently, NetEase is in the process of converting its Hong Kong stock listing from a secondary to a primary listing, paving the way for its eventual inclusion in the Stock Connect program.

Fig. 1: China – air traveler volume change (y-y)

Note: *the volume till 25 May; ** International travelers excluding HongKong, Macau and Taiwan; *** Regional travelers include the travelers to/from HongKong, Macau and Taiwan
Source: Flights Management, Nomura research

Appendix A-1

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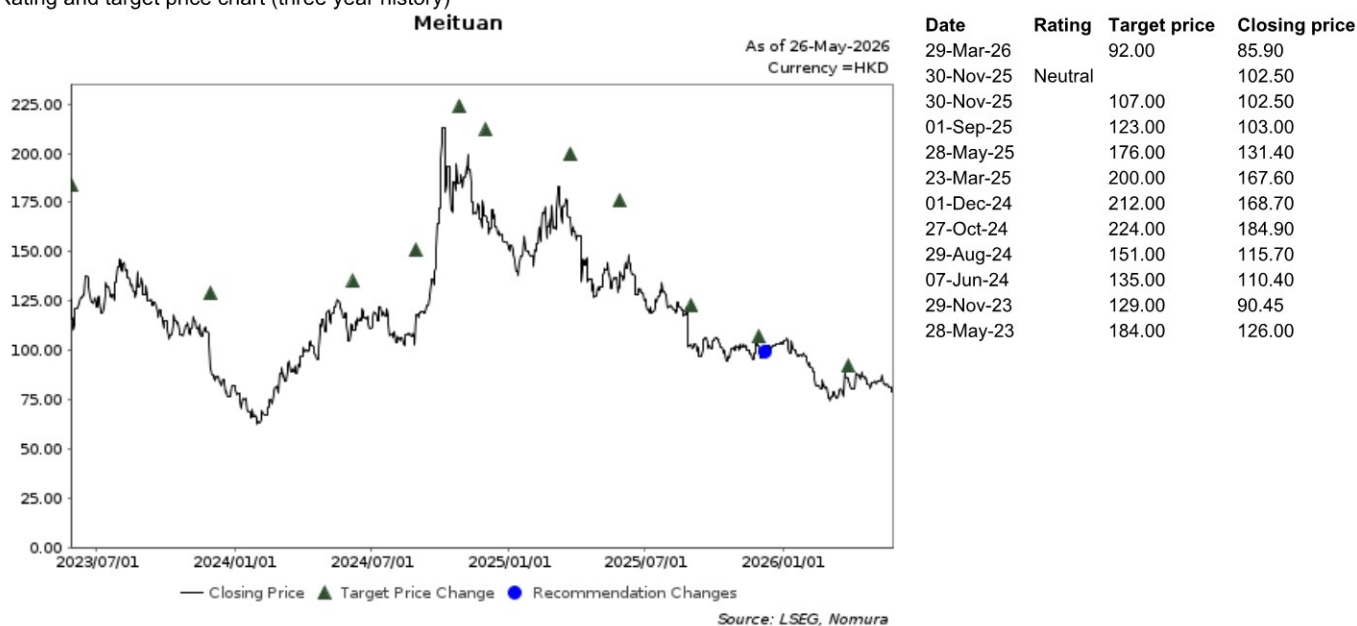
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Meituan	3690 HK	HKD 78.80	26-May-2026	Neutral	N/A	A10
Tencent Holdings	700 HK	HKD 439.00	26-May-2026	Buy	N/A	A10
Alibaba Group Holding	BABA US	USD 130.00	22-May-2026	Buy	N/A	A10
NetEase	NTES US	USD 116.55	22-May-2026	Buy	N/A	A10
Trip.com	TCOM US	USD 46.37	22-May-2026	Neutral	N/A	A10

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Meituan (3690 HK)

HKD 78.80 (26-May-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



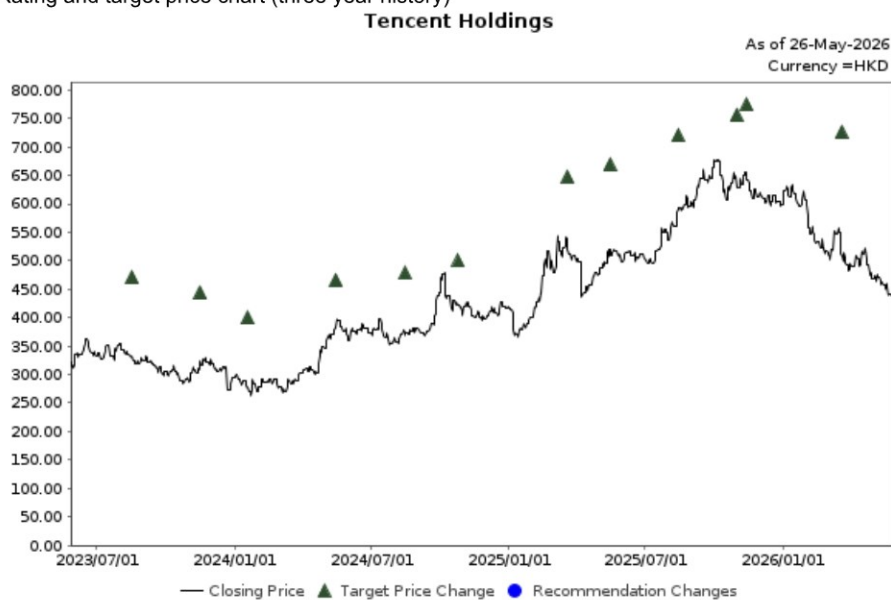
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the food delivery business at USD10bn based on 10x FY28F P/E and discounted to FY26. We value the instashopping business at USD6bn based on 18x FY27F P/E and discounted to FY26. We value the in-store, hotel and travel business at USD22bn based on 8x FY27F P/E and discounted to FY26. We value the new business at USD17bn, based on 1x FY26F P/S. The resulting TP is HKD92. The benchmark index for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Upside risks include: (1) easing competition in the food delivery or in-store consumption verticals; and (2) stronger-than-expected performance in new initiatives such as the global expansion. Downside risks include: (1) intensifying competition in the food delivery or in-store consumption verticals; and (2) worse-than-expected performance in the new initiatives.

Tencent Holdings (700 HK)**HKD 439.00 (26-May-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
20-Mar-26		727.00	508.00
14-Nov-25		775.00	641.00
31-Oct-25		757.00	629.00
14-Aug-25		721.00	590.00
15-May-25		670.00	520.00
20-Mar-25		648.00	519.50
25-Oct-24		500.00	421.00
15-Aug-24		478.00	368.40
15-May-24		467.00	381.80
18-Jan-24		400.00	277.60
16-Nov-23		445.00	324.80
17-Aug-23		472.00	332.80

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Tencent's online gaming business at USD281bn (FY26F P/E of 18x), online advertising business at USD236bn (FY26F P/E of 20x), Fintech business at USD169bn (FY26F P/E of 15x), and Cloud business at USD40bn (FY26F P/S of 5x). We value investees at USD106bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Alibaba Group Holding (BABA US)**USD 130.00 (22-May-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
14-May-26		207.00	141.12
20-Mar-26		200.00	122.41
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34
11-Aug-23		142.00	94.16

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD339bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD207. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

NetEase (NTES US)

USD 116.55 (22-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
12-Feb-26		155.00	118.17
18-Aug-25		160.00	130.30
16-Jul-25		157.00	132.61
16-May-25		149.00	119.58
21-Feb-25		124.00	103.22
24-Jan-25		123.00	103.18
15-Nov-24		102.00	85.49
25-Oct-24		100.00	79.74
23-Aug-24		117.00	82.08
24-May-24		135.00	90.48
17-Nov-23		138.00	117.14
01-Nov-23		128.00	108.35
25-Aug-23		125.00	98.76
28-Jul-23		129.00	108.50

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US\$73bn based on 17x FY26F P/E. We value NTES' music business at USD2bn based on its latest market cap. The resulting TP is USD155. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks: 1) bigger margin contraction from incubated business; and 2) lower-than-expected grossing of legacy titles like FWJ.

Trip.com (TCOM US)

USD 46.37 (22-May-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
29-Aug-25		71.00	73.75
20-May-25		67.00	63.38
26-Feb-25		57.00	58.61
19-Nov-24		61.00	62.74
27-Aug-24		48.00	45.97
21-May-24		55.00	55.83
23-Feb-24		47.00	47.34
21-Nov-23	Neutral		32.78
21-Nov-23		41.00	32.78
05-Sep-23		48.00	38.26

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Trip.com at USD71, based on 16x FY26F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks: (1) stronger-than-expected average spending per traveller; (2) faster-than-expected resumption of outbound travel with increasing international flight capacity, and; (3) sustained solid growth momentum for the China domestic travel market. Downside risks include: 1) a severe downturn in the global economy due to natural or man-made disasters; and 2) intensifying competition from emerging players.

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